

INTERNAL REVENUE BULLETIN



HIGHLIGHTS OF THIS ISSUE

These synopses are intended only as aids to the reader in identifying the subject matter covered. They may not be relied upon as authoritative interpretations.

ESTATE TAX

REG-103193-26, page 1593.

These proposed regulations would amend the current regulations to increase the amount of the user fee for authorized persons who wish to request the issuance of IRS Letter 627, also referred to as an estate tax closing letter. Pursuant to the guidelines in OMB Circular A-25, the IRS has calculated its cost of providing the estate tax closing letter to be \$76.

EXCISE TAX, EXEMPT ORGANIZATIONS

Notice 2026-36, page 1587.

This notice announces intent to issue proposed regulations under section 4960 pertaining to the tax on excess tax-exempt organization executive compensation. It is anticipated that the proposed regulations will address the expanded definition of covered employee made to section 4960 by the

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OBBBA. This notice also provides transition relief for applicable tax-exempt organizations (ATEOs) and their related organizations, allowing for certain exceptions to the definition of covered employee provided in the section 4960 regulations to continue to apply until further guidance is issued. This notice also solicits public comments.

INCOME TAX

Notice 2026-37, page 1589.

This notice publishes the inflation adjustment factor and reference price for calendar year 2026 for the renewable electricity production credit under section 45 of the Internal Revenue Code. The 2026 inflation adjustment factor and reference price are used in determining the availability of the credit and apply to calendar year 2026 sales of kilowatt hours of electricity produced in the United States or a possession thereof from qualified energy resources. This notice also provides the credit amounts for calendar year 2026 under section 45.

The IRS Mission

Provide America's taxpayers top-quality service by helping them understand and meet their tax responsibilities and enforce the law with integrity and fairness to all.

Introduction

The Internal Revenue Bulletin is the authoritative instrument of the Commissioner of Internal Revenue for announcing official rulings and procedures of the Internal Revenue Service and for publishing Treasury Decisions, Executive Orders, Tax Conventions, legislation, court decisions, and other items of general interest. It is published weekly.

It is the policy of the Service to publish in the Bulletin all substantive rulings necessary to promote a uniform application of the tax laws, including all rulings that supersede, revoke, modify, or amend any of those previously published in the Bulletin. All published rulings apply retroactively unless otherwise indicated. Procedures relating solely to matters of internal management are not published; however, statements of internal practices and procedures that affect the rights and duties of taxpayers are published.

Revenue rulings represent the conclusions of the Service on the application of the law to the pivotal facts stated in the revenue ruling. In those based on positions taken in rulings to taxpayers or technical advice to Service field offices, identifying details and information of a confidential nature are deleted to prevent unwarranted invasions of privacy and to comply with statutory requirements.

Rulings and procedures reported in the Bulletin do not have the force and effect of Treasury Department Regulations, but they may be used as precedents. Unpublished rulings will not be relied on, used, or cited as precedents by Service personnel in the disposition of other cases. In applying published rulings and procedures, the effect of subsequent legislation, regulations, court decisions, rulings, and procedures must be considered, and Service personnel and others concerned are cautioned

against reaching the same conclusions in other cases unless the facts and circumstances are substantially the same.

The Bulletin is divided into four parts as follows:

Part I.—1986 Code.

This part includes rulings and decisions based on provisions of the Internal Revenue Code of 1986.

Part II.—Treaties and Tax Legislation.

This part is divided into two subparts as follows: Subpart A, Tax Conventions and Other Related Items, and Subpart B, Legislation and Related Committee Reports.

Part III.—Administrative, Procedural, and Miscellaneous.

To the extent practicable, pertinent cross references to these subjects are contained in the other Parts and Subparts. Also included in this part are Bank Secrecy Act Administrative Rulings. Bank Secrecy Act Administrative Rulings are issued by the Department of the Treasury's Office of the Assistant Secretary (Enforcement).

Part IV.—Items of General Interest.

This part includes notices of proposed rulemakings, disbarment and suspension lists, and announcements.

The last Bulletin for each month includes a cumulative index for the matters published during the preceding months. These monthly indexes are cumulated on a semiannual basis, and are published in the last Bulletin of each semiannual period.

The contents of this publication are not copyrighted and may be reprinted freely. A citation of the Internal Revenue Bulletin as the source would be appropriate.

Part III

Notice of Intent to Issue Regulations Under Section 4960

Notice 2026-36

SECTION 1. PURPOSE

This notice announces that the Department of the Treasury (Treasury Department) and the Internal Revenue Service (IRS) intend to issue proposed regulations under section 4960 of the Internal Revenue Code (Code)¹ pertaining to the tax on excess tax-exempt organization executive compensation. It is anticipated that the proposed regulations will address the effective date of the amendment to the definition of covered employee made by section 70416 of Public Law 119-21, 139 Stat. 72 (July 4, 2025), commonly known as the One, Big, Beautiful Bill Act (OBBBA) and will also propose exceptions to the definition of covered employee that are similar to the limited hours and nonexempt funds exceptions in the existing section 4960 regulations. This notice also solicits public comments on the matters addressed in this notice.

SECTION 2. BACKGROUND

.01 *Overview of section 4960.* Section 4960 generally imposes an excise tax on any applicable tax-exempt organization (ATEO) or related person or governmental entity that pays a covered employee remuneration in excess of \$1 million in a taxable year or an excess parachute payment.

.02 *Pre-OBBBA definition of covered employee.* As originally enacted in 2017 under Section 13602 of the Tax Cuts and Jobs Act, Pub. L. No. 115-97, 131 Stat. 2054, 2157 (Dec. 22, 2017), section 4960(c)(2) of the Code defined a covered employee as any employee (including any former employee) of an ATEO if the employee (1) is one of the five high-

est-compensated employees of the ATEO for the taxable year, or (2) was a covered employee of the ATEO (or any predecessor) for any preceding taxable year beginning after December 31, 2016. On January 19, 2021, the Treasury Department and IRS published final regulations under section 4960 in the *Federal Register* (T.D. 9938, 86 FR 6196) (section 4960 regulations).

.03 *Exceptions to five highest-compensated employees under the section 4960 regulations.* Section 53.4960-1(d) (2) defines the term “five highest-compensated employees” of an ATEO. Section 53.4960-1(d)(2)(ii), (iii), and (iv) provide “limited hours,” “nonexempt funds,” and “limited services” exceptions to this definition, respectively. Under the section 4960 regulations, an individual meeting any of these exceptions is disregarded for purposes of determining an ATEO’s five highest-compensated employees for a taxable year. An individual who was a covered employee of an ATEO (not qualifying for an exception to being one of the five highest-compensated employees) for any taxable year beginning after December 31, 2016, remains a covered employee for all future years because covered employee status is permanent.

.04 *Reason for the exceptions in the section 4960 regulations.* The limited hours exception and nonexempt funds exception were adopted in response to commenters requesting exceptions for situations in which employees of non-ATEO related organizations perform limited or temporary services for the related ATEO (in particular, while receiving no compensation from the ATEO). The limited services exception was adopted to prevent an employee to whom the ATEO paid minimal remuneration from displacing an employee who would otherwise have been one of the five highest-compensated employees (and thus a covered employee) of the ATEO.

.05 *OBBBA changes to the definition of covered employee.* Section 70416 of the OBBBA revised the definition of

“covered employee.” For taxable years beginning after December 31, 2025, the term “covered employee” means any employee of an ATEO (or any predecessor of an ATEO) and any former employee of an ATEO (or its predecessor) who was such an employee during any taxable year beginning after December 31, 2016. Thus, after the OBBBA, the definition of covered employee in section 4960 is no longer limited to an ATEO’s five highest-compensated employees, and the section 4960 regulations’ exceptions to the “five highest-compensated employees” of an ATEO no longer apply by their terms.

SECTION 3. APPLICABILITY OF POST-OBBBA DEFINITION OF COVERED EMPLOYEE

Section 70416(b) of the OBBBA provides that the amendment to the definition of covered employee applies to taxable years beginning after December 31, 2025. The Treasury Department and the IRS interpret this effective-date provision to broaden the definition of covered employee only for taxable years of an ATEO beginning after December 31, 2025, and to retain the prior definition of covered employee for taxable years beginning on or before December 31, 2025, including for purposes of determining for a taxable year beginning after December 31, 2025, whether a former employee was a covered employee in a taxable year beginning on or before December 31, 2025. Accordingly, the definition of covered employee under section 4960(c) (2), as amended by the OBBBA, includes only—

- Any individual who was an employee of an ATEO in any taxable year beginning after December 31, 2016, and on or before December 31, 2025, if the individual was a covered employee for the taxable year under prior law, and
- Any individual who is an employee of an ATEO in any taxable year beginning after December 31, 2025 (subject

¹ Unless otherwise provided, all “section” references are to sections of the Code or the Regulations on Foundation and Similar Excise Taxes (26 CFR Part 53).

to any exceptions provided in future guidance, such as those described in section 4.01 of this notice).

SECTION 4. FORTHCOMING PROPOSED REGULATIONS

.01 *Intent to issue regulations.* The Treasury Department and the IRS intend to issue proposed regulations (forthcoming proposed regulations) revising the section 4960 regulations by removing references to an ATEO's five highest-compensated employees and making conforming changes. It is anticipated that the forthcoming proposed regulations would provide the interpretation of the post-OBBBA definition of covered employee described in section 3 of this notice. It is also anticipated that the proposed regulations would provide covered employee exceptions for limited hours and nonexempt funds similar to those in section 53.4960-1(d)(2)(ii) and (iii), but would not provide a limited services exception to the amended definition of covered employee because the concern that motivated that exception—displacement of an employee who would otherwise have been one of the five highest-compensated employees of the ATEO—is no longer relevant. The forthcoming proposed regulations may also address other issues, such as issues reserved in the existing section 4960 regulations.

.02 *Prospective changes.* It is anticipated that the forthcoming proposed regulations would be prospective and would not apply to taxable years beginning before the issuance of final regulations.

SECTION 5. RELIANCE

.01 *Interpretation of the post-OBBBA definition of covered employee and limited hours and nonexempt funds exceptions.* Until the forthcoming proposed regulations are issued, ATEOs may rely on the rules described in section 4.01 of this notice that are anticipated to be included in the proposed regulations.

.02 *Example.*

Facts. ATEO 1 (an ATEO) and CORP 2 (a taxable-related organization) use a calendar taxable year. Employees A and B have been employees of CORP 2 and ATEO 1 since 2017. Employee A was a covered employee for ATEO 1's taxable year beginning on January 1, 2025, because Employee A was one of ATEO 1's five highest-compensated employees and did not qualify for an exception to such status for 2025. Employee B has never been one of the five highest-compensated employees of ATEO 1 and meets the requirements of the limited hours exception for ATEO 1's taxable year beginning on January 1, 2026. Employee C has been an employee of CORP 2 since 2017 and was an employee of ATEO 1 only in 2020, but not one of its five highest-compensated employees because there were more than 5 individuals with higher remuneration than Employee C for the 2020 taxable year.

Conclusion. Employee A is a covered employee of ATEO 1 for taxable year 2026 because Employee A was a covered employee for 2025 and covered employee status, once obtained, is permanent.

In accordance with section 5.01 of this notice, ATEO 1 may rely on the interpretation of the post-OBBBA definition of covered employee described in section 3 of this notice and the limited hours exception to determine that Employee B is not a covered employee of ATEO 1 for taxable year 2026.

In accordance with section 5.01 of this notice, ATEO 1 may rely on the interpretation of the post-OBBBA definition of covered employee described in section 3 of this notice to determine that Employee C is not a covered employee of ATEO 1 for taxable year 2026 by reason of being a former employee of ATEO 1. Although Employee C was an employee of ATEO 1 in 2020, Employee C was not a covered employee for that taxable year under the interpretation of the post-OBBBA definition of covered employee described in section 3 of this notice and thus was not a covered employee for any taxable year through 2025 under prior law. If Employee C becomes an employee of ATEO 1 in a post-2025 taxable year and does not meet any applicable exception to covered employee status, Employee C will be a covered employee of ATEO 1 for that taxable year and all future taxable years.

SECTION 6. REQUEST FOR COMMENTS

The Treasury Department and the IRS request comments regarding all issues raised by this notice, in particular: (1) any changes that are needed or appropriate to adapt the current limited hours and nonexempt funds exceptions to the new

definition of covered employee under the OBBBA and the appropriateness of applying these exceptions to officers of the ATEO, and (2) any other issues that should be addressed in the forthcoming proposed regulations.

SECTION 7. SUBMISSION OF COMMENTS

.01 Written comments should be submitted on or before **August 4, 2026**. Consideration will be given, however, to any written comment submitted after such date, if such consideration will not delay the issuance of guidance. The subject line for the comments should include a reference to Notice 2026-36. Comments may be submitted in one of two ways:

(1) Electronically via the Federal eRulemaking Portal at www.regulations.gov (type IRS-2026-0233 in the search field on the [regulations.gov](http://www.regulations.gov) homepage to find this notice and submit comments).

(2) Alternatively, by mail to: Internal Revenue Service, CC:PA:01:PR (Notice 2026-36), Room 5503, P.O. Box 7604, Ben Franklin Station, Washington, DC 20044.

.02 All commenters are strongly encouraged to submit comments electronically. The Treasury Department and the IRS will publish for public availability any comment submitted electronically, or on paper, to the IRS's public docket on www.regulations.gov.

SECTION 8. DRAFTING INFORMATION

The principal authors of this notice are Robert C. Weedman and Ward L. Thomas of the Office of Associate Chief Counsel (Employee Benefits, Exempt Organizations, and Employment Taxes). For further information regarding this notice, contact Mr. Weedman at (202) 317-3517 or Mr. Thomas at (202) 317-6173 (not a toll-free number).

Credit for Renewable Electricity Production and Publication of Inflation Adjustment Factor and Reference Price for Calendar Year 2026

Notice 2026-37

This notice publishes the inflation adjustment factor and reference price for calendar year 2026 for the renewable electricity production credit under section 45 of the Internal Revenue Code (section 45 credit). The 2026 inflation adjustment factor and reference price are used in determining the availability of the credit and apply to calendar year 2026 sales of kilowatt hours of electricity produced in the United States or a possession thereof from qualified energy resources.

BACKGROUND

Section 45 was amended by section 13101 of Public Law 117-169, 136 Stat. 1818 (August 16, 2022), commonly known as the Inflation Reduction Act of 2022 (IRA). The IRA changed the manner in which the section 45 credit amounts are calculated for any qualified facility placed in service after December 31, 2021.

As amended by the IRA, section 45(b)(6)(A) provides that, in the case of any qualified facility that satisfies the requirements of section 45(b)(6)(B), the credit amount determined under section 45(a) (determined after the application of section 45(b)(1) through (5) and without regard to section 45(b)(6)) is equal to such amount multiplied by 5. A qualified facility satisfies the requirements of section 45(b)(6)(B) if it is placed in service after December 31, 2021, and it is one of the following: (i) a facility with a maximum net output of less than 1 megawatt (as measured in alternating current); (ii) a facility the construction of which began

prior to January 29, 2023, which is the date that is 60 days after the publication of the guidance with respect to the requirements of section 45(b)(7)(A) (prevailing wage requirements) and section 45(b)(8) (apprenticeship requirements);¹ or (iii) a facility that satisfies the requirements of section 45(b)(7)(A) and (8). The IRA also added bonus credit amounts with respect to qualified facilities placed in service after December 31, 2022, that meet domestic content requirements under section 45(b)(9)² or energy community requirements under section 45(b)(11).³

The IRA amended the phaseout of the section 45 credit for wind facilities under section 45(b)(5) such that it does not apply to facilities placed in service after December 31, 2021. The IRA also added a new phaseout of the section 45 credit under section 45(b)(10) in the case of qualified facilities placed in service after December 31, 2022, for taxpayers making an elective payment election under section 6417. The IRA also amended the credit amount reduction under section 45(b)(3) in the case of qualified facilities the construction of which began after August 16, 2022.

The IRA amended section 45(d)(4) to restore the section 45 credit for electricity produced in solar energy facilities in the case of qualified facilities placed in service after December 31, 2021, and the construction of which began before January 1, 2025. Effective for facilities placed in service after December 31, 2022, the IRA (1) removed the one-half reduction of the credit amount under section 45(b)(4)(A) for qualified hydropower facilities and marine and hydrokinetic renewable energy facilities and (2) amended the definition of marine and hydrokinetic renewable energy under section 45(c)(10) and the definition of a marine and hydrokinetic renewable energy facility under section 45(d)(11). The IRA also extended certain deadlines in the definitions under section 45(d) for wind facilities, closed-loop biomass facilities, open-loop biomass facilities, geothermal facilities, landfill gas facilities, trash facilities, qualified hydro-

power facilities, and marine and hydrokinetic renewable energy facilities.

Section 45(a) provides that the renewable electricity production credit for any tax year is an amount equal to the product of the kilowatt hours of specified electricity produced by the taxpayer and sold to an unrelated person during the tax year multiplied by 1.5 cents (in the case of a qualified facility placed in service before January 1, 2022) or 0.3 cents (in the case of a qualified facility placed in service after December 31, 2021). This electricity must be produced from qualified energy resources and at a qualified facility during the 10-year period beginning on the date the facility was originally placed in service.

Section 45(b)(1) provides that the amount of the credit determined under section 45(a) is reduced by an amount which bears the same ratio to the amount of the credit as the amount by which the reference price for the calendar year in which the sale occurs exceeds 8 cents, bears to 3 cents. Under section 45(b)(2), the 1.5 cent (or 0.3 cent) amount in section 45(a) and the 8 cent amount in section 45(b)(1) are each adjusted by multiplying such amount by the inflation adjustment factor for the calendar year in which the sale occurs. In the case of any qualified facility placed in service before January 1, 2022, if any amount as increased under section 45(b)(2) is not a multiple of 0.1 cent, such amount is rounded to the nearest multiple of 0.1 cent. In the case of any qualified facility placed in service after December 31, 2021, if the 0.3 cent amount as increased under section 45(b)(2) is not a multiple of 0.05 cent, such amount is rounded to the nearest multiple of 0.05 cent.

In the case of electricity produced in open-loop biomass facilities, landfill gas facilities, trash facilities, qualified hydropower facilities, and, if placed in service before January 1, 2023, marine and hydrokinetic renewable energy facilities, section 45(b)(4)(A) requires the amount in effect under section 45(a)(1) for such cal-

¹ See §§ 1.45-6, 1.45-7, 1.45-8, and 1.45-12 of the Income Tax Regulations for additional information regarding the requirements of section 45(b)(6)(B).

² See Notice 2023-38, 2023-22 I.R.B. 872 (May 12, 2023), Notice 2024-41, 2024-24 I.R.B. 1615 (May 16, 2024), corrected at IR 2024-147 (May 24, 2024), and Notice 2025-08, 2025-8 I.R.B. 800 (February 18, 2025), for additional information regarding the domestic content bonus credit.

³ See Notice 2024-30, 2024-16 I.R.B. 878 (April 15, 2024), for additional information regarding the energy community bonus credit.

endar year (determined before rounding as required by section 45(b)(2)) to be reduced by one-half. As amended by the IRA, the one-half reduction under section 45(b)(4) (A) no longer applies to qualified hydro-power facilities and marine and hydrokinetic renewable energy facilities placed in service after December 31, 2022.

Section 45(b)(5) provides that in the case of any qualified wind facility placed in service before January 1, 2022, the amount of the credit determined under section 45(a) (determined after the application of section 45(b)(1), (2), and (3) and without regard to section 45(b)(5)) shall be reduced by (A) in the case of any facility the construction of which began after December 31, 2016, and before January 1, 2018, 20 percent, (B) in the case of any facility the construction of which began after December 31, 2017, and before January 1, 2019, 40 percent, (C) in the case of any facility the construction of which began after December 31, 2018, and before January 1, 2020, 60 percent, and (D) in the case of any facility the construction of which began after December 31, 2019, and before January 1, 2022, 40 percent.

Section 45(c)(1) defines qualified energy resources as wind, closed-loop biomass, open-loop biomass, geothermal energy, solar energy, municipal solid waste, qualified hydropower production, and marine and hydrokinetic renewable energy.

Section 45(d)(1) defines a qualified facility using wind to produce electricity as any facility owned by the taxpayer that was originally placed in service after December 31, 1993, and the construction of which began before January 1, 2025. *See* section 45(e)(7) for rules relating to the inapplicability of the credit to electricity sold to utilities under certain contracts.

Section 45(d)(2)(A) defines a qualified facility using closed-loop biomass to produce electricity as any facility owned by the taxpayer that was originally placed in service after December 31, 1992, and the construction of which began before January 1, 2025, or owned by the taxpayer which before January 1, 2025, was originally placed in service and modified to use closed-loop biomass to co-fire with coal, with other biomass, or with both, but only if the modification is approved under the

Biomass Power for Rural Development Programs or is part of a pilot project of the Commodity Credit Corporation as described in 65 FR 63052. For purposes of section 45(d)(2)(A)(ii), a facility shall be treated as modified before January 1, 2025, if the construction of such modification began before such date. Section 45(d)(2)(C) provides that in the case of a qualified facility described in section 45(d)(2)(A)(ii), the 10-year period referred to in section 45(a) is treated as beginning no earlier than the date of the enactment of section 45(d)(2)(C)(i) (October 22, 2004), and if the owner of such facility is not the producer of the electricity, the person eligible for the credit allowable under section 45(a) is the lessee or the operator of such facility. A qualified facility using closed-loop biomass includes a new unit placed in service after the date of the enactment of section 45(d)(2)(B) (October 3, 2008) in connection with a qualified facility using closed-loop biomass, but only to the extent of the increased amount of electricity produced at the facility by reason of such new unit.

Section 45(d)(3)(A) defines a qualified facility using open-loop biomass to produce electricity as any facility owned by the taxpayer which in the case of a facility using agricultural livestock waste nutrients, was originally placed in service after the date of the enactment of section 45(d)(3)(A)(i)(I) (October 22, 2004) and the construction of which began before January 1, 2025, and the nameplate capacity rating of which is not less than 150 kilowatts, and in the case of any other facility, the construction of which began before January 1, 2025. In the case of any facility described in section 45(d)(3)(A), if the owner of such facility is not the producer of the electricity, section 45(d)(3)(C) provides that the person eligible for the credit allowable under section 45(a) is the lessee or the operator of such facility. A qualified facility using open-loop biomass includes a new unit placed in service after the date of the enactment of section 45(d)(3)(B) (October 3, 2008) in connection with a qualified facility using open-loop biomass, but only to the extent of the increased amount of electricity produced at the facility by reason of such new unit.

Section 45(d)(4) defines a qualified facility using geothermal energy to pro-

duce electricity as any facility owned by the taxpayer that was originally placed in service after the date of the enactment of section 45(d)(4) (October 22, 2004) and the construction of which began before January 1, 2025. A qualified facility using geothermal energy does not include any property described in section 48(a)(3) the basis of which is taken into account by the taxpayer for purposes of determining the energy credit under section 48.

As amended by the IRA and effective for solar energy facilities placed in service after December 31, 2021, section 45(d)(4) also defines a qualified facility using solar energy to produce electricity as any facility owned by the taxpayer that was originally placed in service after the date of the enactment of section 45(d)(4) (October 22, 2004) and the construction of which began before January 1, 2025. A qualified facility using solar energy does not include any property described in section 48(a)(3) the basis of which is taken into account by the taxpayer for purposes of determining the energy credit under section 48.

Section 45(d)(6) defines a qualified facility using gas derived from the biodegradation of municipal solid waste to produce electricity as any facility owned by the taxpayer that was originally placed in service after the date of the enactment of section 45(d)(6) (October 22, 2004) and the construction of which began before January 1, 2025.

Section 45(d)(7) defines a qualified facility (other than a facility described in section 45(d)(6)) that uses municipal solid waste to produce electricity as any facility owned by the taxpayer that was originally placed in service after the date of the enactment of section 45(d)(7) (October 22, 2004) and the construction of which began before January 1, 2025. A qualified facility using municipal solid waste includes a new unit placed in service in connection with a facility placed in service on or before the date of the enactment of section 45(d)(7), but only to the extent of the increased amount of electricity produced at the facility by reason of such new unit.

Section 45(d)(9) defines a qualified facility producing qualified hydroelectric production (as described in section 45(c)(8)) as (i) any facility producing incremental hydropower production, but only to the

extent of its incremental hydropower production attributable to efficiency improvements or additions to capacity described in section 45(c)(8)(B) placed in service after the date of the enactment of section 45(d)(9) (August 8, 2005) and before January 1, 2025, and (ii) any other facility placed in service after the date of the enactment of section 45(d)(9) (August 8, 2005) and the construction of which began before January 1, 2025. Section 45(d)(9)(B) provides that, in the case of a qualified facility described in section 45(d)(9)(A), the 10-year period referred to in section 45(a) shall be treated as beginning on the date the efficiency improvements or additions to capacity are placed in service. Section 45(d)(9)(C) provides that for purposes of section 45(d)(9)(A)(i), an efficiency improvement or addition to capacity shall be treated as placed in service before January 1, 2025, if the construction of such improvement or addition began before such date.

As amended by the IRA, section 45(d)(11) provides that, in the case of a facility producing electricity from marine and hydrokinetic renewable energy, the term “qualified facility” means any facility owned by the taxpayer which has a nameplate capacity rating of at least 150 kilowatts (or at least 25 kilowatts in the case of a facility placed in service after December 31, 2022), and was originally placed in service on or after the date of the enactment of section 45(d)(11) (October 3, 2008) and the construction of which began before January 1, 2025.

Section 45(e)(2)(A) requires the Secretary to determine and publish in the Federal Register each calendar year the inflation adjustment factor and the reference price for such calendar year. The inflation adjustment factor and the reference price for the 2026 calendar year were published in the Federal Register at 91 FR 32511 on June 1, 2026.

Section 45(e)(2)(B) defines the inflation adjustment factor for a calendar year as a fraction the numerator of which is the GDP implicit price deflator for the preceding calendar year and the denominator of which is the GDP implicit price deflator for the calendar year 1992. The term

“GDP implicit price deflator” means the most recent revision of the implicit price deflator for the gross domestic product as computed and published by the Department of Commerce before March 15 of the calendar year.

Section 45(e)(2)(C) provides that the reference price with respect to a calendar year is the Secretary’s determination of the annual average contract price per kilowatt hour of electricity generated from the same qualified energy resource and sold in the previous year in the United States. Only contracts entered into after December 31, 1989, are taken into account.

INFLATION ADJUSTMENT FACTOR AND REFERENCE PRICE

The inflation adjustment factor for calendar year 2026 for qualified energy resources is 2.0570.

The reference price for calendar year 2026 for facilities producing electricity from wind (based upon information provided by the Department of Energy) is 3.17 cents per kilowatt hour. The reference prices for facilities producing electricity from closed-loop biomass, open-loop biomass, geothermal energy, solar energy, municipal solid waste, qualified hydropower production, and marine and hydrokinetic renewable energy have not been determined for calendar year 2026.

PHASEOUT CALCULATION

Because the 2026 reference price for electricity produced from wind (3.17 cents per kilowatt hour) does not exceed 8 cents multiplied by the inflation adjustment factor (2.0570), the phaseout of the credit provided in section 45(b)(1) does not apply to such electricity sold during calendar year 2026. However, section 45(b)(5) provides an additional phaseout of the credit for wind facilities placed in service before January 1, 2022, and the construction of which began after December 31, 2016. For electricity produced from closed-loop biomass, open-loop biomass, geothermal energy, solar energy, municipal solid waste, qualified hydropower production, and marine and hydrokinetic renewable

energy, the phaseout of the credit provided in section 45(b)(1) does not apply to such electricity sold during calendar year 2026.

CREDIT AMOUNT FOR A QUALIFIED FACILITY PLACED IN SERVICE BEFORE JANUARY 1, 2022

As required by section 45(b)(2), the 1.5 cent amount provided in section 45(a)(1) is adjusted by multiplying such amount by the inflation adjustment factor for the calendar year in which the sale occurs. If any amount as increased under section 45(b)(2) is not a multiple of 0.1 cent, such amount is rounded to the nearest multiple of 0.1 cent. In the case of electricity produced in open-loop biomass facilities, landfill gas facilities, trash facilities, qualified hydropower facilities, and marine and hydrokinetic renewable energy facilities, section 45(b)(4)(A) requires the amount in effect under section 45(a)(1) for such calendar year (before rounding to the nearest 0.1 cent as required by section 45(b)(2)) to be reduced by one-half.⁴

Under the calculation required by section 45(b)(2), the credit for renewable electricity production for calendar year 2026 determined under section 45(a) is 3.1 cents per kilowatt hour on the sale of electricity produced in any qualified facility placed in service before January 1, 2022, from the qualified energy resources of wind, closed-loop biomass, and geothermal energy, and 1.5 cents per kilowatt hour on the sale of electricity produced in any qualified facility placed in service before January 1, 2022, from the qualified energy resources of open-loop biomass, landfill gas, trash, qualified hydropower, and marine and hydrokinetic renewable energy.

CREDIT AMOUNT FOR A QUALIFIED FACILITY PLACED IN SERVICE AFTER DECEMBER 31, 2021

As required by section 45(b)(2), the 0.3 cent amount provided in section 45(a)(1) is adjusted by multiplying such amount by the inflation adjustment factor for the cal-

⁴ As amended by the IRA and discussed later in this notice, the one-half reduction under section 45(b)(4)(A) no longer applies to qualified hydropower facilities and marine and hydrokinetic renewable energy facilities placed in service after December 31, 2022.

endar year in which the sale occurs. If the 0.3 cent amount as adjusted for inflation is not a multiple of 0.05 cent, the amount is rounded to the nearest multiple of 0.05 cent. In the case of electricity produced in open-loop biomass facilities, landfill gas facilities, trash facilities, qualified hydropower facilities, and marine and hydrokinetic renewable energy facilities, section 45(b)(4)(A) requires the amount in effect under section 45(a)(1) for such calendar year (determined before rounding as required by section 45(b)(2)) to be reduced by one-half.

Under the calculation required by section 45(b)(2), the credit for renewable electricity production for calendar year 2026 determined under section 45(a) is 0.6 cents per kilowatt hour on the sale of electricity produced in any qualified facility placed in service after December 31, 2021, from the qualified energy resources of wind, closed-loop biomass, geothermal energy, and solar energy, and 0.3 cents per kilowatt hour on the sale of electricity

produced in any qualified facility placed in service after December 31, 2021, from the qualified energy resources of open-loop biomass, landfill gas and trash. The credit for renewable electricity production for calendar year 2026 determined under section 45(a) is also 0.3 cents per kilowatt hour on the sale of electricity produced in any qualified facility placed in service after December 31, 2021, and before January 1, 2023, from the qualified energy resources of qualified hydropower and marine and hydrokinetic renewable energy.

**CREDIT AMOUNT FOR
QUALIFIED HYDROPOWER
FACILITIES AND MARINE AND
HYDROKINETIC RENEWABLE
ENERGY FACILITIES PLACED IN
SERVICE AFTER DECEMBER 31,
2022**

The one-half reduction under section 45(b)(4)(A) no longer applies to qual-

ified hydropower facilities and marine and hydrokinetic renewable energy facilities placed in service after December 31, 2022. Accordingly, under the calculation required by section 45(b)(2), the credit for renewable electricity production for calendar year 2026 determined under section 45(a) is 0.6 cents per kilowatt hour on the sale of electricity produced in any qualified facility placed in service after December 31, 2022, from the qualified energy resources of qualified hydropower and marine and hydrokinetic renewable energy.

**DRAFTING AND CONTACT
INFORMATION**

The principal author of this notice is Charles Hyde of the Office of Associate Chief Counsel (Energy, Credits, and Excise Tax). For further information regarding this notice contact Mr. Hyde at (202) 317-6853 (not a toll-free number).

Part IV

Notice of Proposed Rulemaking

Estate Tax Closing Letter User Fee Update

REG-103193-26

AGENCY: Internal Revenue Service (IRS), Treasury.

ACTION: Notice of proposed rulemaking.

SUMMARY: This document contains proposed regulations amending the current regulations to increase the amount of the user fee imposed on authorized persons requesting the issuance of an estate tax closing letter. The Independent Offices Appropriations Act of 1952 authorizes charging user fees in appropriate circumstances. The proposed regulations would affect persons who request an estate tax closing letter.

DATES: Written or electronic comments and requests for a public hearing must be received by July 2, 2026.

ADDRESSES: Commenters are strongly encouraged to submit public comments electronically. Submit electronic submissions via the Federal eRulemaking Portal at <https://www.regulations.gov> (indicate IRS and REG-103193-26) by following the online instructions for submitting comments. Requests for a public hearing must be submitted as prescribed in the “Comments and Request for Public Hearing” section. Once submitted to the Federal eRulemaking Portal, comments cannot be edited or withdrawn. The Department of the Treasury (Treasury Department) and the IRS will publish for public availability any comments submitted to the IRS’s public docket. Send paper submissions to: CC:PA:01:PR (REG-103193-26), Room 5503, Internal Revenue Service, P.O. Box 7604, Ben Franklin Station, Washington, D.C. 20044.

FOR FURTHER INFORMATION CONTACT: Concerning the proposed regulations, Juli Ro Kim at (202) 317-

6859; concerning cost methodology, CFO Cost and User Fees at (202) 317-6400; concerning submissions of comments or requests for a public hearing, the Publications and Regulations Section at (202) 317-6901 (not toll-free numbers) or by email at publichearings@irs.gov (preferred).

SUPPLEMENTARY INFORMATION:

Authority

This notice of proposed rulemaking proposes amendments to 26 CFR part 300 regarding user fees for authorized persons who request the issuance of an estate tax closing letter (also referred to as the IRS Letter 627).

The Independent Offices Appropriations Act of 1952 (IOAA) (31 U.S.C. 9701) authorizes each agency to prescribe regulations that establish user fees for services provided by the agency. The IOAA provides that regulations implementing user fees are subject to policies prescribed by the President; these policies are set forth in the Office of Management and Budget Circular A-25, 58 FR 38142 (July 15, 1993) (OMB Circular A-25).

The IOAA states that the services provided by an agency should be self-sustaining to the extent possible. Under OMB Circular A-25, agencies that provide services that confer special benefits on identifiable recipients beyond those accruing to the general public must identify those services, determine whether user fees should be assessed for those services, and, if so, establish user fees that recover the full cost of providing those services, unless an exception to the full cost requirement is granted. As required by the IOAA and OMB Circular A-25, agencies are to review user fees biennially and update them as necessary to reflect changes in the cost of providing the underlying services.

Background and Explanation of Provisions

A. Estate Tax Closing Letter User Fee

On September 28, 2021, the Treasury Department and the IRS published final

regulations (TD 9957) in the *Federal Register* (86 FR 53539) establishing a \$67 user fee to apply to requests for the issuance of an estate tax closing letter, based on a 2019 Cost Model. Based on a 2023 Cost Model, the Treasury Department and the IRS published in the *Federal Register* an interim final rule (TD 10031, 90 FR 21410) on May 20, 2025, followed by final regulations adopting the interim final rule (TD 10038, 90 FR 55041) on December 1, 2025, which established the current \$56 user fee to apply to requests for the issuance of an estate tax closing letter.

As explained in the *Background* section of the preamble of TD 9957, the issuance of an estate tax closing letter constitutes the provision of a service and confers special benefits to authorized persons requesting such letters beyond those accruing to the general public. Therefore, the IRS is authorized, pursuant to the IOAA and OMB Circular A-25, to charge a user fee for the issuance of an estate tax closing letter that reflects the full cost of providing this service.

In 2025, the IRS conducted a biennial review of the estate tax closing letter user fee and issued a new Cost Model, which determined that the full cost of issuing estate tax closing letters to authorized persons is \$76. The increase is due to a combination of operational factors.

B. Calculation of User Fees Generally

The IRS follows generally accepted accounting principles (GAAP) in calculating the full cost of providing services. The Federal Accounting Standards Advisory Board (FASAB) is the body that establishes GAAP that apply for Federal reporting entities such as the IRS. FASAB publishes the FASAB Handbook of Accounting Standards and Other Pronouncements, as amended, available at <https://fasab.gov/accounting-standards/>. The FASAB Handbook includes the Statement of Federal Financial Accounting Standards 4: Managerial Cost Accounting Standards and Concepts (SFFAS No. 4) for the Federal government. SFFAS No. 4 establishes internal costing standards under GAAP to accurately measure and

manage the full cost of Federal programs. The methodology described below is in accordance with SFFAS No. 4.

1. Cost Center Allocation

The IRS determines the cost of its services and the activities involved in producing them through a cost accounting system that tracks costs to organizational units. The lowest organizational unit in the IRS’s cost accounting system is a cost center. Cost centers usually are separate offices that are distinguished by subject-matter area of responsibility or geographic region. All costs of operating a cost center are recorded in the IRS’s cost accounting system and are allocated to that cost center. These costs include the direct costs for the cost center’s activities and all indirect costs, including overhead, associated with that cost center. Each cost is recorded in only one cost center.

2. Cost Estimation of Direct Labor and Benefits

Not all cost centers are fully devoted to only one service for which the IRS charges a user fee. When cost centers include multiple services, the IRS measures the time required to accomplish activities associated with each service to estimate the average time spent on the service in the related cost center. The average time devoted is multiplied by the relevant organizational unit’s average labor and benefits cost per unit of time to determine the direct labor and benefits cost incurred to provide the service. To determine the

full cost, the IRS then adds an appropriate overhead charge.

3. Calculating Overhead

Overhead is an indirect cost of operating an organization that cannot be immediately associated with an activity that the organization performs. Overhead includes costs of resources that are jointly or commonly consumed by one or more organizational unit’s activities but are not specifically identifiable to a single activity, such as the following:

- General management and administration
- Rent, security, utilities and maintenance
- Procurement and contracting
- Financial management and accounting
- Information technology
- Research, analytical, and statistical
- Human resources and personnel

To calculate the overhead allocable to a service, the IRS multiplies the current overhead rate by the direct labor and benefits costs of the service. The overhead rate is the ratio of the IRS’s indirect labor, benefits, and non-labor costs of business divisions that do not interact with taxpayers to the direct labor and benefits costs of business divisions that interact with taxpayers. The IRS calculates the overhead rate annually based on cost elements underlying the Statement of Net Cost included in the IRS Annual Financial Statements, which are audited by the Government Accountability Office.

For this estate tax closing letter user fee review, the fiscal year (FY) 2025 overhead

rate, based on FY 2024 costs, of 62.92 percent was used.

C. Full Cost Determination for the Estate Tax Closing Letter User Fee

The IRS followed the guidance provided by the OMB Circular A-25 guidance to compute the full cost of issuing estate tax closing letters to authorized persons. OMB Circular A-25 explains that the full cost includes all indirect and direct costs to any part of the Federal Government including, but not limited to, direct and indirect personnel costs, physical overhead, rents, utilities, travel, and management costs.

1. Request Processing Costs

Requests for estate tax closing letters are processed by employees at grades 5, 8, and 11 of the general schedule (GS-5, GS-8, and GS-11). Approximately 0.65 staff hours are required to review the return, create the estate tax closing letters, and prepare the letters for mailing. The IRS processed an average of 8,053 requests per year for estate tax closing letters in FY 2023 and FY 2024, requiring 5,234 staff hours.

Total hours allocated to the cost also must include indirect hours for campus employees, which are calculated by multiplying the direct hours by the applicable 60 percent indirect employee rate. Using this information, IRS determined that staff hours for processing requests for estate tax closing letters are 8,374 annually.

Direct Staff Hours	5,234
Indirect Hours (60%)	+ 3,140
Total Hours	8,374

To determine the labor and benefits costs, the IRS divided the 8,374 total hours by 2,080 (the total annual hours worked by a full-time employee (FTE)) to convert the hours to a 4.03 FTE equivalent. The processing of requests for estate tax closing

letters is performed at the GS-5 level (36.85 percent), but also by employees at the GS-8 level (35.82 percent) and GS-11 level (27.33 percent). The average salary and benefit cost for each of those levels was multiplied by that grade’s percentage

of processing time to arrive at a \$92,812 total cost per FTE. Multiplying the cost per FTE by the 4.03 FTE equivalent resulted in a total labor and benefits cost of \$374,032, as follows:

Total Cost Per FTE	\$92,812
Total FTE	× 4.03
Processing Labor & Benefits	\$374,032

2. *Quality Assurance Review Costs*

A sampling of issued estate tax closing letters are reviewed to verify (1) the estate tax closing letter was authorized, (2) the information included in the estate tax closing letter was accurate, and (3) the address was correct.

During FY 2023 and FY 2024, 48 estates were issued estate tax closing letters (an annual average of 24 estates) that were reviewed for quality assurance purposes. Generally, three letters are reviewed per estate and quality assurance professionals spend 0.5 hours reviewing one estate tax closing letter, totaling 36

direct staff hours. The direct staff hours were multiplied by the 60 percent indirect employee rate for campus employees, resulting in a combined total of 58 annual staff hours allocated for quality assurance (QA) reviews, as follows:

Direct Staff Hours	36
Indirect Hours (60%)	+ 22
Total Hours	58

Outgoing estate tax closing letters are reviewed by quality assurance professionals at the following Internal Revenue (IR) paybands of the IRS Payband System: IR-10 (25 percent) and IR-06 (75 percent).

Dividing the total hours by 2,080 (the total annual hours for each FTE) resulted in 0.03 FTEs. The average salary and benefits for both IR paybands conducting QA reviews was multiplied by that IR payband's per-

centage of processing time to arrive at the \$3,818 total cost per FTE. The total cost per FTE was then multiplied by the total FTE to determine the labor and benefits cost for QA reviews, as follows:

Total Cost per FTE	\$127,256
Total FTE	× 0.03
Quality Assurance Labor & Benefits	\$3,818

3. *Full Cost Per Request Calculation*

The IRS applied the 62.92 percent overhead rate to the total labor and benefits cost to calculate the full cost of the estate tax closing letter program.

Processing Labor & Benefits	\$374,032
Quality Assurance Labor & Benefits	+ \$3,818
Total Labor and Benefits	\$377,850
Overhead (62.92%)	+ \$237,743
Full Cost	\$615,593

The \$76 cost per request was determined by dividing the full cost by the average annual volume of processed requests, as follows:

Full Cost	\$615,593
Estimated Annual Request Volume	÷ 8,053
Cost Per Request	\$76

Proposed Applicability Date

These regulations are proposed to apply to requests for an estate tax closing letter received by the IRS on or after the date that is 30 days after the date these regulations are published as final regulations in the *Federal Register*.

Special Analyses

I. Regulatory Planning and Review

The OMB's Office of Information and Regulatory Analysis has determined that this regulation is not significant and is not subject to review under section 6(b) of Executive Order 12866.

II. Regulatory Flexibility Act

Pursuant to the Regulatory Flexibility Act (5 U.S.C. chapter 6), it is hereby certified that these proposed regulations will not have a significant economic impact on a substantial number of small entities. The proposed regulations, which would increase the amount of a fee to obtain a

particular service, would affect decedents' estates, which generally are not "small entities" as defined under 5 U.S.C. 601(6). Thus, these proposed regulations would have no economic impact on small entities. Accordingly, the Secretary certifies that the rule will not have a significant economic impact on a substantial number of small entities.

III. Submission to Small Business Administration

Pursuant to section 7805(f) of the Internal Revenue Code, this notice of proposed rulemaking has been submitted to the Chief Counsel of the Office of Advocacy of the Small Business Administration for comment on its impact on small business.

IV. Unfunded Mandates Reform Act

Section 202 of the Unfunded Mandates Reform Act of 1995 requires that agencies assess anticipated costs and benefits and take certain other actions before issuing a final rule that includes any Federal mandate that may result in expenditures in any one year by a State, local, or Tribal government, in the aggregate, or by the private sector, of \$100 million in 1995 dollars, updated annually for inflation. This rule does not include any Federal mandate that may result in expenditures by State, local, or Tribal governments, or by the private sector in excess of that threshold.

V. Executive Order 13132: Federalism

Executive Order 13132 (Federalism) prohibits an agency from publishing any rule that has federalism implications if the rule either imposes substantial, direct

compliance costs on State and local governments, and is not required by statute, or preempts State law, unless the agency meets the consultation and funding requirements of section 6 of the Executive order. These proposed regulations do not have federalism implications and do not impose substantial direct compliance costs on State and local governments or preempt State law within the meaning of the Executive order.

Comments and Request for Public Hearing

Before these proposed regulations are adopted as final regulations, consideration will be given to comments that are submitted timely to the Treasury Department and the IRS as prescribed in this preamble under the **ADDRESSES** heading. The Treasury Department and IRS request comments on all aspects of the proposed regulations. Any electronic and paper comments submitted will be made available at <https://www.regulations.gov> or upon request. Once submitted to the Federal eRulemaking Portal, comments cannot be edited or withdrawn.

A public hearing will be scheduled if requested in writing by any person that timely submits written or electronic comments. If a public hearing is scheduled, notice of the date, time, and place for the public hearing will be published in the *Federal Register*.

Drafting Information

The principal author of these proposed regulations is Juli Ro Kim of the Office of the Associate Chief Counsel (Passthroughs, Trusts, and Estates). How-

ever, other personnel from the Treasury Department and the IRS participated in their development.

List of Subjects in 26 CFR Part 300

Estate taxes, Reporting and record-keeping requirements.

Proposed Amendments to the Regulations

Accordingly, the Treasury Department and the IRS propose to amend 26 CFR part 300 as follows:

PART 300--USER FEES

Paragraph 1. The authority citation for part 300 continues to read, in part, as follows:

Authority: 31 U.S.C. 9701.

Par. 2. Section 300.12 is amended by revising paragraphs (b) and (d) to read as follows:

§ 300.12 Fee for estate tax closing letter.

* * * * *

(b) *Fee.* The fee for issuing an estate tax closing letter is \$76.

* * * * *

(d) *Applicability date.* This section applies to requests received by the IRS on or after [the date 30 days after the date of publication of final regulations in the *Federal Register*].

Frank J. Bisignano,
Chief Executive Officer.

(Filed by the Office of the Federal Register June 1, 2026, 8:45 a.m., and published in the issue of the Federal Register for June 2, 2026, 91 FR 32909)

Definition of Terms

Revenue rulings and revenue procedures (hereinafter referred to as "rulings") that have an effect on previous rulings use the following defined terms to describe the effect:

Amplified describes a situation where no change is being made in a prior published position, but the prior position is being extended to apply to a variation of the fact situation set forth therein. Thus, if an earlier ruling held that a principle applied to A, and the new ruling holds that the same principle also applies to B, the earlier ruling is amplified. (Compare with *modified*, below).

Clarified is used in those instances where the language in a prior ruling is being made clear because the language has caused, or may cause, some confusion. It is not used where a position in a prior ruling is being changed.

Distinguished describes a situation where a ruling mentions a previously published ruling and points out an essential difference between them.

Modified is used where the substance of a previously published position is being changed. Thus, if a prior ruling held that a principle applied to A but not to B, and the

new ruling holds that it applies to both A and B, the prior ruling is modified because it corrects a published position. (Compare with *amplified* and *clarified*, above).

Obsoleted describes a previously published ruling that is not considered determinative with respect to future transactions. This term is most commonly used in a ruling that lists previously published rulings that are obsoleted because of changes in laws or regulations. A ruling may also be obsoleted because the substance has been included in regulations subsequently adopted.

Revoked describes situations where the position in the previously published ruling is not correct and the correct position is being stated in a new ruling.

Superseded describes a situation where the new ruling does nothing more than restate the substance and situation of a previously published ruling (or rulings). Thus, the term is used to republish under the 1986 Code and regulations the same position published under the 1939 Code and regulations. The term is also used when it is desired to republish in a single ruling a series of situations, names, etc., that were previously published over a period of time in separate rulings. If the

new ruling does more than restate the substance of a prior ruling, a combination of terms is used. For example, *modified* and *superseded* describes a situation where the substance of a previously published ruling is being changed in part and is continued without change in part and it is desired to restate the valid portion of the previously published ruling in a new ruling that is self contained. In this case, the previously published ruling is first modified and then, as modified, is superseded.

Supplemented is used in situations in which a list, such as a list of the names of countries, is published in a ruling and that list is expanded by adding further names in subsequent rulings. After the original ruling has been supplemented several times, a new ruling may be published that includes the list in the original ruling and the additions, and supersedes all prior rulings in the series.

Suspended is used in rare situations to show that the previous published rulings will not be applied pending some future action such as the issuance of new or amended regulations, the outcome of cases in litigation, or the outcome of a Service study.

Abbreviations

The following abbreviations in current use and formerly used will appear in material published in the Bulletin.

A—Individual.
Acq.—Acquiescence.
B—Individual.
BE—Beneficiary.
BK—Bank.
B.T.A.—Board of Tax Appeals.
C—Individual.
C.B.—Cumulative Bulletin.
CFR—Code of Federal Regulations.
CI—City.
COOP—Cooperative.
Ct.D.—Court Decision.
CY—County.
D—Decedent.
DC—Dummy Corporation.
DE—Donee.
Del. Order—Delegation Order.
DISC—Domestic International Sales Corporation.
DR—Donor.
E—Estate.
EE—Employee.
E.O.—Executive Order.
ER—Employer.

ERISA—Employee Retirement Income Security Act.
EX—Executor.
F—Fiduciary.
FC—Foreign Country.
FICA—Federal Insurance Contributions Act.
FISC—Foreign International Sales Company.
FPH—Foreign Personal Holding Company.
FR—Federal Register.
FUTA—Federal Unemployment Tax Act.
FX—Foreign corporation.
G.C.M.—Chief Counsel's Memorandum.
GE—Grantee.
GP—General Partner.
GR—Grantor.
IC—Insurance Company.
I.R.B.—Internal Revenue Bulletin.
LE—Lessee.
LP—Limited Partner.
LR—Lessor.
M—Minor.
Nonacq.—Nonacquiescence.
O—Organization.
P—Parent Corporation.
PHC—Personal Holding Company.
PO—Possession of the U.S.
PR—Partner.
PRS—Partnership.

PTE—Prohibited Transaction Exemption.
Pub. L.—Public Law.
REIT—Real Estate Investment Trust.
Rev. Proc.—Revenue Procedure.
Rev. Rul.—Revenue Ruling.
S—Subsidiary.
S.P.R.—Statement of Procedural Rules.
Stat.—Statutes at Large.
T—Target Corporation.
T.C.—Tax Court.
T.D.—Treasury Decision.
TFE—Transferee.
TFR—Transferor.
T.I.R.—Technical Information Release.
TP—Taxpayer.
TR—Trust.
TT—Trustee.
U.S.C.—United States Code.
X—Corporation.
Y—Corporation.
Z—Corporation.

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¹ A cumulative list of all revenue rulings, revenue procedures, Treasury decisions, etc., published in Internal Revenue Bulletins 2025–27 through 2025–52 is in Internal Revenue Bulletin 2024–52, dated December 22, 2024.

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¹ A cumulative list of all revenue rulings, revenue procedures, Treasury decisions, etc., published in Internal Revenue Bulletins 2025–27 through 2025–52 is in Internal Revenue Bulletin 2024–52, dated December 22, 2024.

Internal Revenue Service

Washington, DC 20224

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INTERNAL REVENUE BULLETIN

The Introduction at the beginning of this issue describes the purpose and content of this publication. The weekly Internal Revenue Bulletins are available at www.irs.gov/irb/.

We Welcome Comments About the Internal Revenue Bulletin

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